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THE WHITE HOUSE

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**PRESS BRIEFING
BY
THE PRESIDENT
AND
SECRETARY OF STATE GEORGE P. SHULTZ**

The Briefing Room

10:00 A.M. EDT

SECRETARY SHULTZ: This morning the Eastern District Court of New York accepted the application of Gennadi Sakharov, a Soviet citizen assigned to the U.S. Secretariat, to plead nolo contendere to all three counts of the indictment filed against him.

The court has remanded Mr. Sakharov into the custody of the Soviet Ambassador to the United States for the purpose of effecting his immediate departure from this country. It is expected that Mr. Sakharov will leave the United States this afternoon.

During the discussions held over the past ten days, Soviet Foreign Minister Shevardnadze has informed me that Yuri Orlov, one of the founders of the Helsinki Monitoring Group, and a giant of the Soviet human rights movement will be allowed to leave the Soviet Union. Mr. Orlov and his wife will depart by October 7, and are expected to come to this country. The precise timing and means of their departure will be determined through diplomatic channels.

Yuri Orlov, a physicist by profession, and member of the Armenian Academy of Sciences, was Chairman of Moscow's Helsinki Monitoring Group until his arrest in October, 1977 for alleged anti-Soviet activity.

The Helsinki Monitors, a courageous group of human rights activists, openly attempted to hold the Soviet authorities accountable to their commitments under the Helsinki Accords of 1975. They maintain direct contact with Western diplomats and journalists in an effort to keep them informed of Soviet human rights abuses. Such well-known figures as Andrei Sakharov, Jelena Bonner, and Anatoli Shcharansky participated in the Moscow Helsinki Monitoring Group, and similar groups modeled on the Moscow example sprang up in other major Soviet cities.

Orlov was a founding member and driving force behind the Helsinki monitors. As Chairman of the Moscow Group, he singled himself out for particular attention from the KGB and was caught up in the first wave of arrests of group members. In 1978 he was sentenced to seven years in a strict regime labor camp and five years of internal exile. Since 1984 he has been forced to live in a remote Siberian village in extremely harsh physical conditions. At age 62 Orlov is in extremely poor health as a result of prolonged periods of solitary confinement -- up to six months at a time -- in labor camp and severe beatings suffered both in camp and in exile.

Orlov's wife, Irina Valitova, shared his commitment to the Helsinki process. She has maintained regular contact with Western ambassadors and journalists over the years since her husband's arrest, and has steadfastly worked to ameliorate the harsh conditions of his confinement.

I think the President will be here in a minute.

DEPARTMENT OF STATE A/CDC/MR

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Q Well, good evening.
Q Reykjavik? What a surprise?
Q Iceland?

THE PRESIDENT: Yes. Yes, that's what I was here to tell you about. (Laughter.)

I am pleased to announce that General Secretary Gorbachev and I will meet October 11th and 12th in Reykjavik, Iceland. The meeting was proposed by General Secretary Gorbachev and I've accepted and it will take place in the context of preparations for the General Secretary's visit to the United States which was agreed to at Geneva in November of '85.

And I might say the United States and the Soviet Union appreciate the willingness of the government of Iceland to make this meeting in Reykjavik possible. So I know you'll all be on your best manner.

Q Well, Mr. President --

Q Mr. President, do think this increases the chances for an arms agreement, the fact that you're going to meet with Mr. Gorbachev before he comes to the U.S.? Will that mean that you have something ready for signature then when you meet with him here?

THE PRESIDENT: I don't believe anything of that kind. I don't think this is going to be just a signing meeting at all. And I have no way of knowing what the outcome will be as we continue with our people or whether we --

Q Mr. President --

Q Mr. President, what do you think the chances are, sir?

THE PRESIDENT: Well, I've said for a long time that I think the chances are better than they've been for -- in many years for reaching some agreement on arms reduction.

Q Mr. President, why did you change your mind on this? All year you had seemed to oppose the idea of a meeting in a neutral country and demanded that it was the General Secretary's turn to come to the U.S. And is there any agenda for this meeting? Are you going to have any kind of agreements on INF or risk reduction centers?

THE PRESIDENT: No, this, in no way, discounts the fact -- and what we've said about a summit -- this is not a summit. This was a suggestion by him that he and I, one-on-one, meet earlier and make that in neutral country because we have agreed, yes, to the summit, that this one would be here and the next one would be in their country.

Q But no agreement has --

Q Mr. President --

Q No agreements at this meeting, sir?

THE PRESIDENT: What?

Q No agreements at the meeting next week?

THE PRESIDENT: I don't know. We've -- all we've agreed upon is that we're going to have a meeting.

Q Mr. President, does that commitment still continue, sir?

though, for the General Secretary to come to the United States for a summit that would actually produce some sort of arms control agreement?

THE PRESIDENT: I hoped for that the last time we met and I'll continue to hope for that. And our arms negotiators have continued to meet. Both sides have made proposals and there have been differences between them. And so far those differences have not been reconciled.

Q Mr. President, we believe that the --

Q How would you now say the Daniloff affair either laid the groundwork for this special meeting or created an obstacle? What is your assessment of this whole --

THE PRESIDENT: The release of Daniloff

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...the meeting possible. ... could not have accepted and held that ...

... Well, Mr. President, on that subject, we believe the Soviets seized Deniloff because of our arrest of Zakharov and they wanted Zakharov out. They're now going to get Zakharov out. What do you say to those who say that you've lost on that trade and they got what they wanted?

MR. SPEAKERS: This will have to be the last question, please.

THE PRESIDENT: No, not at all. There was no connection between these two releases and I don't know just what you have said so far about this, but there were other arrangements with regard to Zakharov that resulted in his being freed.

Q Well, sir, do you think the world is going to believe that there was no connection when, in fact, Deniloff comes out one day and Zakharov goes slip through the magistrature the next and out?

THE PRESIDENT: May I point out to you that there have been several instances over the recent years in which we have arrested a spy and convicted a spy here in this country. And in each instance we ended up, rather than giving them board and room here, we ended up exchanging them for dissidents and people who wanted exit from the Soviet Union.

Q Is there more than --

Q Mr. President?

Q Are we getting more than just Orlov or are there other dissidents there?

THE PRESIDENT: I'm not going to comment on that. Somebody else has already.

Q Is there --

Q Mr. President, you said that Deniloff was a hostage. What message do you have for other American hostages today, for instance, those in Lebanon who have not been beneficiaries of these negotiations?

THE PRESIDENT: I'm glad that this is the last question and I have looked forward to answering this one -- I understand I'm scheduled soon for a press conference and I'm going to save all the ammunition for that -- I'll see you again.

Q When is that?

SECRETARY SHULTZ: We'll announce it in proper time.

THE PRESIDENT: They'll announce the date at a proper time. There -- see.

Q Didn't you just announce --

THE PRESIDENT: But, to answer this question, I understand the sorrow, the grief of the families of the hostages who are held in Beirut and -- we assume they're held in Beirut, because that's the kind of hostage situation this is. There has never been a direct contact with us from the holders of these hostages -- the kidnapers, but there hasn't been a day since they were taken that we have not been engaged in efforts to get them out. And I can just add this -- that sometimes we've thought that we were on the verge of doing that and then there's been a sharp disappointment. And, so as to say, I can understand the families -- if this looks at one. But

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Second, they have told us, and our own information confirms, that the majority of those on the list we gave them have left and they have described to us their conception of a normal rotation process, but those people have left. They asked us in the course of our discussions for a grace period and that was extended by two weeks and we expect to have further information by the time that expires. So, we have been achieving our objectives in that sense, and we have managed in the discussions that were held here, and in the response in the prospective meeting in Iceland show we have managed to keep the possibility of positive results in this relationship going. And so, overall, I think, it's been a pretty good week for us and I hope they may feel the same way.

SECRETARY SHULTS: What rotation are you talking -- what do you mean by rotation?

Q Well, then let me backup. It sound to me as you've now done what two weeks ago you refused to do about the U.M. mission. You wanted to see documents, you wouldn't take their word for it that they've left, on top of that in a blanket accusation -- allegation, the administration said, "These 25 are spies." It strikes me know, and please correct me if I'm wrong, that in the negotiations the U.S. has given a little ground, it has agreed to take their word for it, number one, in whose left and who hasn't left, and number two, to withdraw the notion that all 25 are spies. Because clearly if you're going to let them stay two weeks I don't suppose you allow spies to hang around for an extra two weeks if you really knew they were spies?

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... SECRETARY SHULTZ: The numbers that we sought, we have attained. And we have had an explicit discussion with them about that. Obviously we keep track of the agenda, but a reason, for example, why it's difficult for us to know precisely what their level is is that if somebody in their Mission who has a multiple entry visa returns to Moscow, we don't know whether he is coming back or not until he comes back. So that is why we have to have a discussion about this matter, and we have had it, and so we have their estimate and description of that staffing level.

Furthermore, we have had an explicit discussion about the 25. Obviously they see it differently than we do, but from our standpoint the important thing is that most of them have left and I believe we will deal successfully with the balance of this problem.

So overall, I think, that what we are seeking -- namely to make it clear to everyone, not only the Soviet Union -- that the use of the U.S. Mission as an espionage platform is out. And I think that is one of the things that has come out of this. It is a very strong sentiment and a very important point.

Q Mr. Secretary, can you tell us what the agenda is for Iceland and how that works with any prospective summit meeting via-a-via an arms control agreement or framework -- a Vladivostok-type agreement -- perhaps on INF?

SECRETARY SHULTZ: Well, this is a preparatory meeting proposed as such and accepted as such, and in a way it is very much a part of the process that has been going on with increasing intensity over the last two or three months where we have had all sorts of special groups meeting on all the different subjects that we have under review. So this is a meeting that will give a special push, obviously, and I think it is a very good idea -- a good thing.

Now our agenda will be our regular agenda. Obviously we are going to talk about arms control issues, and they are important. And we have made progress in a number of areas. You mentioned INF -- that's one of them. We are going to talk about various bilateral problems. We are going to talk about regional issues. You can be sure that we are going to keep the subject of human rights on the agenda.

So all of these subjects will in various ways be discussed. I think that if we can move things to the point where on some significant things -- well, they're all significant, but especially significant things -- we can see the gap closed and the prospect of an agreement, and that is all to the good. But of course we have to look at the content and both be satisfied with the content. But there has been enough motion and enough sense of the importance of this that perhaps this meeting can do what is necessary to energize our own -- both negotiators and provide for a productive meeting -- summit meeting in the United States -- hopefully still in 1986.

Q Mr. Secretary, you have a --

Q Mr. Secretary, could you tell us how many of the 25 on the list for the Soviet Mission are still in the United States and will any of them be allowed to remain in the United States after the two-week grace period?

SECRETARY SHULTZ: I don't want to specify the numbers. We know the numbers. In discussing this issue,

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Some questions have been raised about some members of the group -- and we're willing to hear what they have to say about it -- but at any rate, we expect to see 25 people that we think have an association with intelligence activities leave.

Q Mr. Secretary?

Q. After, Secretary, you've said this is a preparatory summit. But, after all, it is a summit. And this Administration's policy has been that summits must be carefully prepared and must have a very good chance of tangible results. If I understood the President correctly, he's not certain what's going to come out of this summit. Why did your policy change, and don't you take a risk that, in fact, nothing will come out?

SECRETARY SHULTS: Well, in the announcement that the President read I believe it calls it a meeting, but you're the laborer. That's the way it is described by them to us and us to them -- that it is a preparatory meeting. Obviously, it's at the level of heads of state. Now, in a real sense it is being carefully prepared. We have been working hard on all of the different areas of subject matter for a long time and, as I said, with great intensity this summer. We had our arms control -- Gorbachev's arms control team in Moscow for a couple of days and theirs here for a couple of days, we've had a number of meetings on regional issues, we had an overall meeting that Undersecretary Branscott chaired, we've had a major discussion of bilateral issues and we've also discussed the human rights area.

So, there's been a lot of preparatory work and the question now is through a meeting of the two heads, will we be able to energize this process still further and make the summit meeting in 1986 which, as I said, we still hope it will be in 1986 -- make it genuinely productive.

Q. Mr. Sugrady?

Q Mr. Secretary, could you please assess for us the impact that the Daniloff case has had on U.S.-Soviet relations? Some people have suggested that, in fact, instead of hurting chances for a summit it has propelled chances for a summit, as we see with this meeting next week that, in fact, it forced both sides to stop the diplomatic posturing and get serious about relations.

SECRETARY SEULTZ: I think the President put it right. It doesn't -- something like the Daniloff case doesn't contribute to a summit; it tends to create a bad atmosphere and tends to make people in the United States concerned about what will happen as there if they go to the Soviet Union and so on. So I don't think that it contributes anything. On the other hand, it was an impediment and as we have said, it was hard to imagine a fruitful summit while Daniloff was being held. So his release clears that atmosphere and that will enable us to move forward productively.

Q When did the Soviets propose this mini-summit? Was that in the letter that Gerbacher sent with Mr. Shaver and also?

SECRETARY SHULTS: The proposal of the preparatory meeting was in the letter of General Secretary Gorbachev to the President which Shevardnadze delivered --

Q Two Fridays ago.

SECRETARY SHULTZ: -- a week ago Friday, I guess.

Q And, Mr. Secretary, is Mr. Grigoy and his wife, are they the only dissidents that we know of that will be allowed to leave in return for Mr. Sakharov?

SECRETARY SHULTZ: Well, we have a continuing dialogue with the Soviet Union about a large number of dissidents, about divided families, about emigration generally. So there is an ongoing urging of them to take action in those -- in those areas.

Q But you have no estrance --

SECRETARY SHULTZ: So we'll continue that now. That's where I'll leave it.

Q Mr. Secretary --

Q Thank you, sir. Mr. Secretary, how important do you think having this meeting is to the Soviets? In your talks with Mr. Shevardnadze did you get the feeling that Mr. Daniloff would have been released if these plans for a meeting in Iceland had not been agreed to by the United States?

SECRETARY SHULTZ: The Daniloff case, and the various other aspects of it, no doubt troubled them, but they certainly troubled us and we're not about to go. And I don't think one could have had a fruitful summit without those matters being settled. Now, insofar as their assessment of the need for this preparatory meeting is concerned, the fact that they suggested it in the first place shows that they felt it could be a productive contribution to this dialogue. So I assume that's their belief and as we considered it, and the President considered it, we agreed. And so the meeting will be held.

Let's try to get into the back of the room here.

Yes?

Q Mr. Secretary, in the context of what you said earlier, do you think it's reasonable to expect an INF framework agreement to be reached in Iceland?

SECRETARY SHULTZ: I don't want to get into the prediction business beyond saying that there has been a great change in the negotiating positions on INF comparing now, with, let's say, a year and a half or so ago. So there's been a lot of motion and in the discussions that we have had there are suggestions of other possible areas where agreement might be found. So I think there are reasonable prospects. But on all of these things you never have an agreement until you have an agreement. So it's a little hard to assess just how far along we are.

Q Mr. Secretary, in your negotiations --

Q -- qualified, maybe, then --

SECRETARY SHULTZ: No -- let -- who else hasn't had a -- somebody who hasn't had a question. Yes?

Q The order that you issued in last spring to cut the Soviet mission back to 100 -- I believe it was 170 people by next April --

SECRETARY SHULTZ: That's by April, 1983.

Q Yes, is that order still unchanged and in effect?

SECRETARY SHULTZ: That's unchanged.

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SECRETARY SHULTZ:

And what we did was we set out various time periods. That's where the number 25 came from. It was our estimate that it took 25 to get down to the 218 and a week or so before we identified the 25 names, the Soviet UN Ambassador had issued a very confrontational statement about their willingness to meet the 218 -- that's what triggered off the 25. So at least, as we see it, we're getting somewhere.

Q Is Orlov the only one to come out?

Q What assurances have you got that the next time the FBI picks up a suspected Soviet spy, that the Soviets will not pick up another American newspaper man?

SECRETARY SHULTZ: There are all sorts of problems here and I think that the strong and resolute action by the President probably sends a pretty good message of how we feel about it and what we'll do about it. And so I think you have to look at all these things as a package. But, obviously, the Soviet Union can pick up people in their country, and have over a long period of time, and -- just look at the history of Mr. Orlov, as an example.

Q Is he the only one to come out, Mr. Secretary? Is Orlov the only one?

Q Mr. Secretary, I gather from what you've said that the Soviets still have not committed themselves to attending a summit in the U.S. Is it your feeling that they're going to Iceland with the idea of waiting and seeing how that will turn out before they decide about a summit here?

SECRETARY SHULTZ: No. I think it's very clear that they recognize, as we do, that the genuine summit will be -- the next one in the U.S. and the following one in the Soviet Union. That's in everybody's plan and that's what's referred to in the statement that the President read today. So, there's no -- there's no suggestion that this meeting in Iceland is a substitute for a summit. It's quite the contrary. It's a preparation for the summit meeting.

Q What are the chances that this will push back the timing?

Q Mr. Secretary, could you tell us what grounds did they cite for the need for this meeting in Iceland? And what was our reason for accepting this notion after we had rejected the notion of the two leaders meeting on neutral territory before?

Q And you'd rejected a meeting in the fall because of the election campaign? (Laughter.)

Q Oh, well.

SECRETARY SHULTZ: The -- we are engaged in a very important and very serious effort to try to get control of the escalating numbers of nuclear weapons and in whatever way we can to get a better handle on the tensions around the world that erupt out of regional problems of various kinds -- human rights problems -- even some of our bilateral issues. We've worked at it very hard and I observe that the Soviets have too. We believe.

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SECRETARY SHULTZ:

and I think they do, that a real, well-prepared, extensive summit meeting in the United States on the one hand, in the Soviet Union on the other, can be a good thing. We want to make it as good a thing as possible. That's why this tremendous effort that's been going on is being made.

Now, the General Secretary suggested to the President that it would help in this preparatory effort of the two of them met perhaps a little less formally than a summit meeting tends to be, and see if they can't push the ball along a little bit in perhaps some of the areas that show the most promise. And as we thought about it, it seemed like a sensible idea, so why not?

Q Is Orlov --

SECRETARY SHULTS: I think that the name of the game here is to try to make progress toward the objectives that we are seeking, and this should help.

Q Is Orlov the only one to come out, sir? We had heard that there may be other dissidents.

SECRETARY SHULTS: Well, there -- as you -- whatever you have heard, you haven't heard it authoritatively, and what I have said is authoritatively what will happen, and that is what we have to say --

Q Might there be others, sir? Might there be others?

Q Mr. Secretary, last Thursday, you told a group of reporters with regard to the 25 Soviet diplomats, that -- the list that you gave them -- that is something that has been done. There it stands. We don't plan to change that. But you have changed that.

SECRETARY SHULTS: No, it stands.

Q Well, you're now saying that some of the 25 might be able to stay if there is --

SECRETARY SHULTS: No, I just -- you were probing about the nature of our discussion, and we had some discussion about a few people that Mr. Shevardnadze had found very useful to him, and we talked about that a little bit. But anyway, our list stands, and basically people are leaving. Obviously, the Soviets say, that's because of their normal rotation. Anyway, from our standpoint, if they leave, that's what counts. And those that may still be here when we get to Reykjavik, we'll talk about that. But we expect to see that fulfilled.

Q Sir did you agree to the removal of two specific names from that list -- two senior intelligence officers?

SECRETARY SHULTS: You're getting the floor by shouting. If there's somebody who hasn't asked a question. All right.

Q Mr. Secretary, was there any sense that Mr. Gorbachev said that if the President did not agree to an Iceland pre-summit meeting that he would not be willing to come to the United States this year or soon afterwards?

SECRETARY SHULTS: That was not -- the nature of this exchange on the question of the Iceland meeting wasn't of that character at all. I think you're sort of misreading the whole thing. The President received a letter, and it had in it commentary about a wide variety of matters, and it wound up in effect saying, selling -- expressing the importance the General Secretary attached to this whole process and made the suggestion that if there were a meeting of this kind in the near future, that might be helpful.

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And we thought about it and we decided -- the President decided perhaps it could be. And we should be willing to do these things this sort -- that may help this process along. And it's -- really, it's just as simple as that. Nobody's saying, too to toe on this thing.

Q Sir?

Q Mr. Secretary, why did the President not tell the Soviets in reply to that suggestion, okay, if you agree to a date -- certain on a summit here in the United States? Why did he not use that opportunity to pin them down to a summit date?

SECRETARY SHULTS: Because I don't think that sort of cat and mouse game on these sorts of things is a productive way to go about it. We did explore carefully their conception of this meeting -- that it is a preparatory meeting -- and their desire, as well as ours, to have a summit in 1986 in the United States, if it's possible. And, so that's what we're shooting for.

Q Mr. Secretary --

SECRETARY SHULTS: Let's see --

Q Mr. Secretary, is it still your understanding of the Soviet position that a formal summit, if it's in the United States at the end of this year, be an occasion to sign formal arms agreements and if that is still the Soviet precondition, what are the prospects of being able to do that at a year end summit here?

SECRETARY SHULTS: I don't think we're talking about preconditions. What we're talking about is what's desirable and there are lots of different ways to satisfy both of our desires to have significant results from these meetings.

Q Well, is it --

SECRETARY SHULTS: Why not? If they're available -- it's almost as though you're saying that it would be a great thing if we had this meeting and nothing came of it. I don't agree with that. I think the object is to have these meetings and have something come of it and both sides agree to that. So, we're trying to find our way to things that will be good from our standpoint that can be part of a summit meeting. And, obviously, we know that they're not going to agree to something unless they think it's good from their standpoint. So, that's the nature of the deal.

Q Mr. Secretary, could I ask one --

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Q Mr. Secretary, why should the American people not view the arrangement on Daniloff and Sakharov as exactly what you said this administration would do -- that is a trade?

MR. SECRETARY: That question there.

SECRETARY SHULTS: Well, I think what we saw here was Daniloff released yesterday, and what I announced today was that Sakharov is being released from the United States and Mr. Orlov and his wife are being released from the Soviet Union. I have also, in response to your question, discussed the U.N. matter and I think this is a very significant part of the picture as we see it.

Q But isn't --

Q Might there be some refuseniks, Mr. Secretary, might there be some Soviet refuseniks released later?

Q Mr. Secretary, on the principle -- the Soviets made it clear that they wanted you to withdraw the expulsion order of October 1st. From everything you've said you've done that.

SECRETARY SHULTS: No, we haven't.

Q But you've said that they are leaving on their own and you've given them a two-week --

SECRETARY SHULTS: From our standpoint, the operative fact is that most have left.

Q Well, but that's not all.

Q But that's quite different.

SECRETARY SHULTS: And those who haven't left, in response to a request for a grace period, we will see how that stands when we meet in Reykjavik. So we have stayed right with our position and we're getting the results we're seeking.

Now, I don't think it's surprising that, if you ask them what's happened, they would say, well, we intended to bring those individuals that appeared to have named home, anyway. And that's what's happening. So that's what they say. From our standpoint, what matters is to have those people out. That's the operative fact.

Q But what --

Q Won't there be some refuseniks released?

Q George Will will not be pleased.

Q What are you saying?

Q Richard Perle will be in anguish. You have broken two hearts, not to mention --

THE PRESS: Thank you.

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